Why Nobody Trusts the News — And How to Fix It

Podcast: prof G markets

AI Executive Summary

1. Core Thesis

The podcast features Jim Van Der Huy, co-founder and CEO of Axios, discussing the evolution of digital media from its early internet days through to the current AI-driven landscape. The core argument posits that while the media ecosystem faces a crisis of trust and fragmentation due to social media and misinformation, there is a concurrent renaissance for human-verified journalism as a premium asset against the rise of generative AI. Van Der Huy argues that successful media organizations must prioritize clinical neutrality, leverage AI for operational efficiency rather than content creation, and adopt a "simplification" leadership model to navigate rapid change. Ultimately, he asserts that while AI cannot replicate the nuanced value of human verification or source connection, it offers significant competitive advantages in production speed and cost reduction if adopted strategically.

2. Key Arguments & Data

- **Media Landscape Shift:** The transition from traditional print/TV dominance (pre-2007) to a fragmented digital ecosystem where social media is the primary news source for 76% of adults under 30. Van Der Huy notes that information inequality now outweighs income inequality as a major societal challenge, with the average person struggling to navigate misinformation in an environment flooded by content they cannot distinguish from credible sources.
- **Trust Crisis:** Distrust in media is "boiling" and stems partly from journalistic behavior on social platforms (e.g., Twitter) where reporters revealed personal biases, eroding professional distance. Axios addresses this through a policy requiring staff neutrality ("not talk about their political views") to build trust with the persuadable audience.
- **Business Model Viability:** Digital media is currently profitable for serving elite audiences (Bloomberg, tech leaders, Washington insiders)

rather than mass markets. Local journalism has seen a 75% decimation in reporters per capita over the last 20 years due to economic shifts. Despite this decline, Axios sold for more than $500 million and Politico for $1 billion, proving the model works for specific demographics.

- **AI Integration Strategy:** Van Der Huy categorizes himself among the top 2-5% of non-Silicon Valley companies regarding AI adoption. He argues AI is not a threat to journalists but a tool for research, editing, and distribution (copyediting, visual generation). However, "closest approximation of truth" remains impossible without human vetting because machines hallucinate and cannot verify nuance or emotional context in the same way humans do.
- **Leadership & Culture:** The "effect that a leader has is 100x more than people realize." Leadership requires constant intervention to prioritize work, simplifying employee roles to three core tasks, and being ruthless about firing toxic individuals regardless of talent ("fire jerk"). Organizational planning should focus on a six-week window due to the speed of information change.
- **The Role of AI vs. Human:** AI is excellent at research and fact-checking blind spots but not at writing or breaking news. Human-verified intelligence will rise in value as AI becomes ubiquitous, provided there is a human connection that can be trusted.

3. Actionable Takeaways

- **For Media Organizations:** Implement clinical neutrality policies to build trust rather than relying on opinion pages for engagement. Integrate AI into the backend of operations (research, editing, distribution) to lower costs while strictly maintaining human oversight and fact-checking on all content. Focus business strategy on serving high-value, informed audiences where you can monetize premium information, rather than attempting to compete on volume with misinformation-heavy social feeds.
- **For Leaders & Founders:** Adopt a "Simplify" operating model by breaking complex goals into three essential tasks per employee and focusing decision-making on a six-week horizon. Prioritize communication consistency over complexity; repeat clear messages

until they are heard. Be proactive in removing toxic cultural elements early, even if it means firing top performers who are destructive to company culture.
- **For Young Professionals & Entrepreneurs:** Treat entrepreneurship as a necessary "risk time" phase of life where you can afford to fail without catastrophic consequences. If you have a good idea with plausible monetization and authentic passion, execute it regardless of traditional credentials (GPA, university, previous experience). Build skills specifically in using AI as a force multiplier rather than fearing the technology itself; early adopters will gain a significant speed advantage over peers relying on traditional work methods.

Full Transcript

Support for the show comes from Engine. Running a small business means every dollar has to work hard. But if your team is still booking travel the old way, it's costing you more than you think. Engine is the fastest growing travel and spent platform in the country, built specifically for businesses like yours. Book a trip in as little as two and a half minutes, earn up to 10% back on hotels, and in 2025, Engine customers save more than 300 million on travel, with zero booking fees, no contracts, and no BS. More than 1,000 businesses join Engine every month. Join them and get 500 when your business signs up and starts traveling at engine.com slash founders. Welcome to the ProfG Markets founder series. I'm Ed Elson. The media industry has been reinventing itself for decades. In the 90s, the internet fundamentally changed how news was distributed, which reshaped the economics of journalism.

Fast forward to today, AI is forcing the industry through another transformation, and this one may be even more consequential. Newsrooms everywhere are grappling with how AI is changing the way people discover and consume information. At the same time, the technology has made trust more valuable than ever, perhaps creating a renewed appreciation for reporting done by real journalists. Our next guest has been at the center of these shifts for more than two decades. He helped pioneer digital journalism, and today he leads one of the most influential news organizations in the world. So we wanted to get his take on some of the most existential questions that media organizations are contending with today, such as how can organizations respond to declines in search traffic? How should newsrooms use AI without compromising trust? And what will the next generation of digital media companies actually look like? This is my conversation with Jim Van Der Huy.

co-founder and CEO of Axios. Jim, great to see you and thank you for joining me. I want to start at the beginning because actually you've co-founded two very successful media organizations. The one before Axios was Politico. Can you take us back to that year when you started that company and then take us through to today? I think the origin of Politico is

in some ways a poetic, in some ways kind of the beginning of the end of an era, right? So if you go back to 20 years ago, it's early 2007 is when Politico launched. Before that, I had been a political writer and the White House correspondent for the Wall Street Journal, The Washington Post, never fancied myself an entrepreneur.

We had this idea. We saw that the web was changing the world. We wanted to be part of the change and not be part of the institution. So we launched Politico. Almost to the day that we launched Politico, the iPhone comes out. Facebook starts to take off. Twitter starts to take off. Google's surging. streaming takes off. So like 2007 is a really important year in history now looking back. And so we were able to ride what was a massive technological shift, a massive consumer shift. We probably pioneered kind of speed and voice in journalism. Politico was a rocket ship. I mean, I think at four months after we launched the company, I was on stage.

co-moderating a presidential debate that we co-sponsored, unheard of, for a new media company. It was the Obama-Clinton race, so there was a lot of national, international interest in it. And the company never stopped growing. It, to this day, does quite well. In the time we were journalists with an idea and then we were entrepreneurs that made it happen and then you have to actually run a company. That's where I learned to be a CEO, learned to lead. Eventually we started Axios. We had a great 10-year run. The company grew. We learned how to run a business. We proved that the digital model could work. I think we created a model that others not long after would try to copy in other areas, the information in technology, now Punchbowl up on Capitol Hill. I think most of the successful publications of the last decade kind of took that model and a lot of those folks worked for us. So it's very gratifying to see the family tree extend. And then we did that 10 years and we had a great run.

I'd say after 10 years, the issue that we had with information consumption was like, wow, politics is important. It's not everything. And if you're a smart person, our observation was you're going to suddenly need to know a lot more across more topics when more stuff's getting pumped into your head. And we wanted to solve for that. And that's where we came up with the idea of Axios and came up with this idea of smart brevity, which is what

is the most efficient way to deliver smart content to busy professional readers. The architecture was smart brevity, this idea of what is new, why does it matter, put your most important information in bullets, make sure it's in hierarchical order, make sure it's reader first, it's all about the consumer, not what the journalist wants. And that model for that moment really worked. And Axios is now almost 10 years old, interestingly, almost on the exact same day in January of next year.

political return 20, actually I'll turn 10. And so I'm sure there'll be a lot of reflection on what that means in digital media in DC. But it really has been a tour of the wild west in terms of just the changing nature of the information ecosystem. Remember, before that, when I met the Washington Post, newspapers are dominant, a couple TV stations are dominant, most people trusted media. And now, I don't even know how I would describe the media ecosystem. Media matters, but does it matter more than podcasts? Does it matter more than influencers? Does it matter more than what's on your social media feed? Does it matter more of what you're watching on YouTube? Does it matter more than what you're hearing from people in your household? The way that our brains absorb information is so radically different today than 20 years ago that it might as well be a 200-year gap.

At 2007 year, it was so important. And it's interesting that you went out and you started your new company that seemed to be, there was a thesis about how digital media would change the world, essentially. And that certainly happened. Was that discussed by other more traditional news outlets? Like, were you an outlier in believing that media was taking a different direction? To what extent did traditional media institutions like the post which you worked for before. To what extent did they understand what was about to happen? I think they understood that something big was happening because you could see it. You had websites and you could look at your traffic and you could tell more people were coming to you online than they were coming to the newspaper. But they weren't adjusting.

The Washington Post was still a newspaper. Reporters cared what was on the front page of the physical newspaper. I remember when I, at the time Washington Post website and newspaper were two separate companies, one in Virginia, one in DC. When I went to the digital version in Virginia,

they're like, you're the first person from the mothership who's ever come to our foreign land. And I'm like, are you kidding me? It looks like I get more people reading me on your site than I do in the newspaper. They're like, yes, we've been telling people that for a year, no one's listening. So when we launched back then, now everybody starts a media company or starts a sub-stack. Back then nobody did. So everyone assumed we were on drugs and that it would fail. And so it was not an environment where people were cheering for us. I think people thought we'd fail. And it was such an exotic concept. To be honest, I kind of thought we'd fail. I just didn't care because I was a pretty good journalist. I figured someone would hire me.

Now it's not that it took years before other people sort of had the confidence to do the same, but now it's very commonplace to happen. And again, there's pros and cons of all this. I think that I actually think that the information ecosystem is much better today than it was 20 years ago. I just think it's a really hard information ecosystem to navigate. It's this great paradox. There's more good high quality information available to any of us than ever before. There's also more crap misinformation. information, manipulative information available to all of us and ever before. So it puts a huge burden on us, the individual news consumer, to know what we're getting, what we're sharing, what we're taking serious, and what we're not. And I think that's too much for probably 95% of the population. I think that's probably the big concern for most people about media today. I mean, I'm sure there are plenty of concerns across the political spectrum.

The rise of social media has meant that that is how a lot of people are now getting their news. In fact, when we look at the numbers among adults under 30, 76% of young people, adults under 30, are now getting their news on social media. And the question is, should we really be trusting the news that we're getting on social media? Should we be trusting the stuff that comes out from clips, from influencers? I mean, how do you think about all of that? I'm very sympathetic to the consumer because the answer is most likely you shouldn't be trusting most of what's just popping up in your your algorithm unless you're very carefully curating your algorithm unless you're really making sure you're following smart people and really following people that are on the level that there are even people to begin with like half the people quote unquote out there are bots very dangerous atmosphere and

so the way I look at it is And I'm a beneficiary of this, and again I think I'm in a small minority.

I feel exponentially smarter today than I did five years ago. I feel like I have almost a bionic brain because I know what inputs to put in and what to filter out. So I know who to follow on X. I know what videos to watch. I know what podcasts are loaded with smart people. I know how to track down the smartest people across science, energy, technology when they're on shows and listen to them unfiltered. I know what news sources because I've been in the news. I know which reporters to follow and usually get it right. I know which ones kind of are commodity peddlers. And so I feel great, but I'm also in the news. I get paid to know the news. I've hired or fired a lot of these people over the years. So like I have a hundred advantages. So for most people, you don't have that. So I think most people end up in the state that they probably would express, which is they feel overwhelmed, uncertain, deeply confused, and often a little demoralized. And just the simple fact, the thing that even five years ago, it would be very unusual for a smart person to send you something and say, this is great. If it's real, like no one would have said that. And now it happens every day. I fall for it all the time where I'll see something and like I have like a dopamine jolt. I'm like, oh, this is interesting. And I have to pause. I'm like, wow, it's not even real.

And that's just, it's a wild place to be in. And that's even before we really start to grapple with AI, which I'm sure we'll get to. But it's just, it's an interesting time to be alive. Because I think about this all the time, because people are usually critical of the modern information ecosystem. But then I think about it like 20 years ago, like I went through this phase and I've kind of gotten over it of being obsessed with longevity and the science around it. 20 years ago, if I opened the New York Times or the Washington Post or watched CBS, I might get a health story once every two weeks. It'd be very hard for me to learn and I had to go to the library to get a medical journal. And now I can listen to the smartest people on earth who are studying these topics unfiltered on YouTube or on a podcast and have unfettered access to them that I wouldn't even had as a reporter.

So I can access the brightest minds and the most interesting information. And so that's great. But it just requires time and it requires a filter and it requires like a pretty good BS sniffer. And that's a lot to ask of the average person who has a life. Where does it leave a media organization like Axios? Because if everyone's, if the media ecosystem has been sort of disaggregated, to all of these different places to substack, to YouTube, to podcasts, influencers, commentators, et cetera, media has lost a lot of ground in that race in a lot of ways. So where does this leave a company like Axios? I mean, Axios is killing it as a business. And obviously that's good because I run the business, but there's a part of it, not that it's not good, but it speaks to a real problem. And it's a problem I don't think people pay enough attention to, which is, We get obsessed with income inequality, which is real and understandable why people get worked up about it. I worry a lot more about information inequality. Axios does so well because we serve the most powerful people in media, business, technology.

they read us voraciously so we can charge a massive cushion on our advertising because they're a hard audience to reach. And so as a business, we're doing really well. And that space of writing for people who have a need for high-end information to do their job is a very good space right now. That is a very good space to be in. So if you're a Bloomberg or you're an us or you're a... Punchbowl, even individual podcasts, right, in your family of podcasts, we're all doing great. It's a really good time to be a media operator this year that doesn't necessarily solve the economics of informing everybody else, right? Like a lot of people can get our content free, so in theory, you could get it on Instagram or you could get it in your Facebook feed, but...

Most of those people are consuming passively. So unless they've decided to follow us and we get sort of tucked into their feed, they're not necessarily benefiting from what I think is an exceptionally high quality, thoughtful journalism distilled in a way that would make sense to almost anybody. So I think about this question a lot, because obviously I want to run a successful media company. I think media is the coolest industry to be in. We get paid to learn and to talk to the most interesting people about the most interesting topics. But if you don't fundamentally have, you don't have to have highly informed, but you have to have an informed in somewhat trusting

population for capitalism in markets in democracy to work long-term, right? If you end up with like information anarchy, you probably end up with some form of anarchy where like, or if not anarchy, maybe you end up with information apathy and then you end up with a population wide apathy.

I always tell people who are dogging the media, kind of have the same reaction when you dog capitalism or free markets or democracy. Like whatever we did, whatever our forefathers did 250 years ago, those guys were wizards, man, wizards. They have set in motion the most powerful economic force known to man. And there's something about free markets, there's something about capitalism that creates almost a sensational desire to create, which then leads you to things like drug discovery in the internet. But I also think media, this idea of embedding into the Constitution, this freedom of press, freedom of information. is also somewhat unique to the US and I think really helps the system work because it allows for this sort of level of transparency and accountability that you obviously lose in other systems. And so it's the mixture of those. You stir those things together and you get what I consider to be like true American magic. Like people don't always feel it these days. They're kind of down on things.

I think that's nuts. I actually think it's a great time to be alive. I think it's an amazing time to be an American. I think that the system for all the crappy leadership that we often have, it's somehow resilient and powerful. And it's bigger than us. We'll be right back. Support for the show comes from Engine. The company's winning right now aren't cutting travel. They're booking smarter. Here's the reality. The average business traveler spends 45 minutes booking a single trip on a legacy platform. With Engine, that booking time drops to as little as two and a half minutes. And its AI-powered personalization gets faster the more you use it. Multiply that across your team every trip, every year. That's not a perk. That's a competitive advantage. Last year, Engine customers saved more than 300 million on travel. And with the Engine X card, get up to 10% back on any hotel booking.

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FDIC. Earn up to 10% back and points on eligible engine travel purchases. Actual reward rates vary by purchase category and may change. Points of no cash value and are redeemable for rewards through our program. See full rewards terms for details go to engine.com slash x slash rewards dash terms. We're back with Jim van der Huy. What do you make of the shift in Americans view of the media? I mean, there is just certainly over the last several years, a lot less trust in media, in media organizations. What do you make of all of that? And was that in your head in the founding of Axios? To what extent did distrust in media have a role in starting this company?

are huge huge I mean because like listen like it's big like I can't we could spend hours debating like who's to blame for it but it's real like I'm just such a like a brutalist when it comes to like it's just like it's real like I like whatever I can't change it I've looked at every poll people don't trust us so they don't trust us and I do think that there's a lot of culpability in the way that the media carried itself over the last 15 years that I wish others in the media would take more responsibility for. I also think there's been a very organized movement, particularly on the right to discredit mainstream media, and it's been very, very successful. So by the time we started Axios, that was at full boil. Like distrust was boiling, it was raging. And so we did a couple of things, not that we're gonna cure the problem, but at least for our specific audience wanted to. And we said, we're not gonna have an opinion page.

enough noise out there, we probably could have driven a lot of traffic and made some money off of it. But I don't think the world needs more opinion. It feels like we have a sufficient amount of that these days. And then we did a harder thing, which is we asked everybody who works here to not talk about their political views in any public setting, even if you're not a reporter. And the reason that we've asked people to do that is, We're trying to be clinical with our reporting. We're trying to persuade the persuadables that we're on the level and that they can trust us. So we have almost a moral obligation to try to go the extra mile to see if we can win their trust by not doing things that undermine that trust. And I don't think the average person differentiates between an Axios reporter and an Axios marketer or an Axios salesperson.

popping off on Twitter or popping off on LinkedIn. And people have been very admirable in living up to that. And so it was very much in our minds. It always is. I hate it that people don't. Trust the media. I love good journalism. And I think there's some great media companies out there that I wish people did more fully trust. And that doesn't mean we don't get stuff wrong. Actually, this has gotten things wrong. When you get it wrong, you gotta admit it and be transparent about it, be humble enough to admit you're not always gonna get it right. If you're wrong, say it. And people are very understanding if you're not trying to BS them. That I think is definitely.

true. And so I think media behaves a little bit better now than it did 10 years ago. I think when the history of media unpopularity is written, I think Twitter is going to play a huge role in it. It was the first time that I, as somebody who worked in a lot of these newsrooms and knows a lot of these people, there was something about Twitter that prompted otherwise serious journalists to start to really reveal their personal views in a way that I think discredited them with a lot of readers. And I didn't think that that was very healthy. I was very critical of it. At the time, I remain quite critical of it. And again, because when people miss the critics of journalism, like I've said, again, like I was at the journal, I was at the post, at Politico here.

The number of times that a serious reporter shows overt signs of bias In my experience as somebody who's kind of attuned to it I don't see it very often most of the bias that I would see in newsrooms came from Ignorance of of their background right like most of the journalists came from Ivy Leagues bigger cities You know kind of lefty families and so that they weren't churchgoers they weren't They weren't from the Midwest. I happen to be a Midwest kid who went to church and hunts. So I had a little bit, maybe a different perspective coming in than others. But that's usually where I saw it. Most reporters, I think most people, if they watched most reporters in action would be, they'd be pretty proud of how hard they do try to get to the closest approximation of the truth, imperfectly for sure. But I think they do a better job than I think.

our brand media would suggest. How do you distinguish between, as you say, bias and also as you say, opinion? Because this seems to be one of the rifts that is emerging in the new media ecosystem today. And something

that I think a lot about is, you know, there was a lot of pushback against journalists because they had opinions or they had these biases. And so that became this new... ecosystem of podcasts and YouTube and people decided, okay, I'm going to listen to Scott Galloway and Ed Elson's podcast or I'm going to listen to Ben Shapiro's podcast or whatever it is. But we're full of opinions. And it seems like the only difference is that we just.

don't call ourselves journalists but at the same time we're disseminating information, people on other podcasts are disseminating their information, we're still contributing to the news ecosystem. So how do you think about that difference and what is the difference? Where is the line between journalism and commentary and discussion? I agree with you that it's been blurred considerably. I do personally have a big distinction in my mind. I think there's one thing for someone like Scott Galloway to be a hyper informed person who has multiple platforms does talk to some people, but like obviously has a point of view and he's very, very clear about his point of view. And I think that that's great. I know exactly where he's coming from. I listened to him for that very reason.

can kind of filter that, his opinion through that. That's different than if you sign up to be a reporter, right? Like when we're hiring a reporter, I'm not saying you don't have biases. We're all humans. So you have biases. But what we ask people to do is to say, listen, you're coming here. You got to check whatever biases you have kind of at the door the best that you can. And you have to cover these things like a doctor. clinically and you're not here to make an argument, you're here to illuminate. And that's just different, it's different. And both are both sort of a great value. They'd be very hard for Scott to be Scott if there wasn't a lot of reporting that he could draw from. So I think both are really important. And I think as long as you're clear about what you are, and then I think for people who've consciously made the decision to come to you, they understand that. They know if they come to Axios and they're reading Sarah Fisher, they're getting something distinct from the experience of watching Scott or watching Kara, like two very different things to companies with different business models that.

have very clearly defined brands and those brands stand for something in the mind of that person. So I think as long as you're clear with the consumer, the consumers cool with it. I do think you need both. I got this idea, I got into this weird, whatever, pissing match with Elon Musk for a day or two, maybe a couple of years ago about, I did this speech that I didn't, it wasn't meant to leak, but it leaked, where I basically, said, like Elon Musk who says like, we are the news, we are the news. And I said, well, bullshit, you're not the news. You're a platform where people are expressing themselves in small bursts of information. And you're a great platform. You're killing it. Like you should be very proud of it. But you're not a reporter. Don't pretend that there's that set of standards that you're applying to it. And there is a difference. And I think there's a huge difference, which is I do think there's I think this idea of saying I'm going to try to get to the closest approximation of the truth, you trying to talk to people on every side of an issue, you writing it through that lens, it then going through an editing process is imperfect for sure. But I still think it is the best process that I know of for trying to get to a clinical truth that people can then make decisions or have arguments about.

Right? So it's not, again, it is flawed, but everything's flawed. Is there a concern on your end? I know you say Axios is crushing it. And you guys are, and Politico sold for a billion dollars, and Axios ended up selling for more than half a billion dollars. It's working. But I think journalism and journalists as an entity They seem to be on the decline. If we look at the number of local journalists per capita, it's just been decimated over the past 20 years, down 75%. And I wonder if in the world of journalism, there is a concern that the world of having an opinion is a more profitable world or the world of running a social media platform where anyone can say whatever it is that they want to say. That makes more money because it's more...

it taps into the senses, there's rage bait, there are all of these things that we know are bad for us, but ultimately we can get kind of addicted to. And so how do you think about that, this possibility that doing the clinical work might not be as good of a business model? That's why I was very clear when I was saying that we're killing it. I'm not saying that in a boastful way. I'm trying to show you that it is working really well in a very kind of elite

audience environment. That's not necessarily a great mass population environment. And what you said is totally true. Empirically, there are far fewer journalists, exponentially far fewer journalists in local media than there were 10 years ago or there were 20 years ago. So it is much harder to get a job in most facets of journalism than it was a decade or 20 years ago. I think that's bad. I think that having more journalists, particularly outside of Washington DC, particularly outside of covering business or technology, would be a great gift to humanity. Because I believe in the power of journalism. I started in local journalism in a small town in Wisconsin, so I believe powerfully in it. Do I think that it can be revived? I do. I do think that in real time, we're seeing maybe a re-appreciation of reporting and a re-appreciation of human-verified truth, not by everybody. And again, these things are, these have been flow. But I do think that it particularly in a world that's dominated by artificial intelligence, which it will be. It's going to be an AI world. This idea of human-verified, human-vetted intelligence delivered by a person is going to rise in value.

And the reason that I think it rises in value is that at some point soon, we're all going to have some freaky device on us that's going to give us Einstein level intelligence across every single topic, but all of us are going to have Einstein level intelligence. So it's going to be human nature. to want something differentiated from what everyone else has. And I think that's where people in journalism, human connection around topics is going to matter profoundly. I do not believe that AI is ever going to get a source to tell them something. that a human could get them to tell you. I don't think AI is gonna be able to pick up when you tell me something, but you got a weird look on your face. I could tell you're bullshitting, right? Like there's gonna be these things that only people can do. And then there's gonna be the connectivity of wanting to talk to a person, hear from a person. Know that not just a machine was verifying something, but that a person spent the time and hopefully a person you've developed some level of trust with has spent the time to verify this. So I feel like there is a re-appreciation of human reporting going on. I think that that will rise in value. I'd say I'm more bullish on our business today, particularly this year than I've probably been about media as a business in 15 years. I feel like there's some variables that are really working in our favor now. I think artificial intelligence once media companies realize how to use it to take out some of the cost that is in

non-differentiated areas, right? At the end of the day, if you're a media company, my product is high quality content you can't get anywhere else. Everything else is just a commodity to help you produce it. Well, that commodity and producing it in the past cost a lot of money. So if you can take that cost and you can shift a lot of that cost into hiring a lot more journalists, then I think that you start to have a better product. It probably runs at better margins. That's producing the differentiated content, which is the human verified and validated layer. I think that that will have real value. And so that's my hope. I don't think it's delusional. Again, I get paid to run a business. It's my day job. And I try to think deeply about how do we make this work?

because it is a neat thing. It's an important thing. And I do think that there's some variables that are now looking more attractive for media. We'll be right back. Support for the show comes from Engine. The companies winning right now aren't cutting travel. They're booking smarter. Here's the reality. The average business traveler spends 45 minutes booking a single trip on a legacy platform. With Engine, that booking time drops to as little as two and a half minutes. And its AI-powered personalization gets faster the more you use it. Multiply that across your team every trip, every year. That's not a perk. That's a competitive advantage. Last year, engine customers saved more than 300 million on travel. And with the Engine X card, get up to 10% back on any hotel booking. 33,000 businesses have joined. Now it's your turn. Get 500 when your business signs up and starts traveling at engine.com slash founders.

EngineX visa commercial cards are issued by 5th Third Bank NA member FDIC. Earn up to 10% back and points on eligible engine travel purchases. Actual reward rates vary by purchase category and made change. Points of no cash value and are redeemable for rewards through our program. See full rewards terms for details. Go to engine.com slash x slash rewards dash terms. We're back with Jim Vanderhohe. At a sort of practical level, what role would artificial intelligence play in a media organization like Axios? Because I mean, kind of hearing you describe what you're describing, part of me thinks that what's going right for media is that maybe it's not really disruptible by AI because it's so obvious to us what the value is in human-centered reporting and journalism that is done by people. I can't quite

understand exactly what role AI would actually play. So how are you thinking about AI in terms of integrating it or not integrating it into your business? Well, let me give you a super specific example because I think this will give you a good lens into what I think will happen over the next three to five years. Take local news. Local news is an almost impossible business pre-AI. Why did all those reporters you talk about lose their jobs? Because the economics of local news went to crap.

Well, we'll go back in time. Local news used to be I have reporters in a building I'm paying for, printing words onto paper that's produced by a printing press I either own or lease. I'm then taking that paper, paying people to roll that paper into a ball, paying to put a rubber band around it. Then I'm paying a boy or a girl to put it in the back of their basket and throw it at your house. All of that to get The product is just the word, the word on that paper. All of that money to get that word to you. Then along comes the internet, takes away the newspaper, so you take away some of the cost. Still the expectation of like, I'm working for a big company, I'm sitting in a big office building, you still have a lot of cost. COVID comes along. Now people are used to not working from home. Okay, now we don't necessarily have to have an office, we don't have to have a printing press, we don't have to have a paper.

You still have all of the things that it takes to assemble news. Like when you be underneath a reporter is all kinds of activity, right? We've got to be able to produce that content. That content has to go to an editing process. Then someone has to match that to a visual. Maybe that visual has to be created. Then it has to be put on a website. Then someone's taking that and they're putting it into an Instagram format, a LinkedIn format. What if you could use artificial intelligence to do everything other than the reporting? So a reporter is building the content. They're doing their job. They're doing their reporting. But underneath that, you've created an AI that helps you do the copy editing. It's reading it. It's knowing that it needs a visual or a data visualization. It creates it for you. It puts all of that together. You then hit.

the button and it gets distributed to your website, and you use artificial intelligence to break that into an Instagram version, a LinkedIn version, a Facebook version, or whatever comes next version. Now you've got mass

distribution for your reporters at a very light cost. That's what we're doing with Axios Locals. We're now in 43 cities. We're building what we call the super system. We've been working with OpenAI and others to build out all of the stuff underneath it. I can tell you that each passing week, the stuff we're able to build is kind of blow your mind stuff. And the model that I just described will happen. A big part of it will be launched by the end of this year. But I think over the coming years, other people will see this and they'll be able to do variations of that. So even the work that you guys do, you have this.

I don't know how you guys view your kind of podcast and content kingdom, but you have all of this. You still have a team of people that are spending a lot of time to try to get more derivative value out of that content. All of that is gonna be done by machines. You're gonna be able to do that if you haven't already done that. So you might be able to get a bigger audience. might be able to find more ad slots for advertisers and you might not need as many people to do that. And so I think that that is like how it's going to work where I don't think AI is useful or very useful for 99.

9% of people is like, it's not gonna write your story. It's not gonna replace human journalists. It's excellent at research. It can be helpful with some of the writing. It's definitely good at challenging and helping you see some blind spots potentially in a story. But what I have found, and where I would put Axios in the, not just media companies, I'd say we're probably in the upper 2% to 5% of non-Silicon Valley companies in terms of using AI. So I think we're lab rats. But I've watched journalists like most of them find it at most modestly useful right now I personally find it exceptionally useful But I use it a lot and I've been I put a dotted deep thought into it over the last couple of years But most of my reporters don't they're like, yeah, it's okay. It helps a little bit with research and that's fine because I want the reporters reporting I want them talking to people I want them breaking news I want them applying analytical judgment that a machine can't apply, often drawn from understanding the people, understanding the historical context, understanding the piece of news as it sits in the broader context of today. You mentioned that you think that AI doesn't really have a role in writing, in doing the writing itself. Maybe it has a little bit of a role in terms of research. I mean, right now we're at a place where AI is pretty powerful.

conducting in-depth research, collecting the research, putting it together, also helping with writing. But we also know that a lot of the time the AI is wrong. It says things very confidently that it seems accurate because of the way that it's presented. But sometimes it's factually incorrect. And then you say, hey, I think you're wrong. And then it suddenly reverses course and tells you a different thing. Are you concerned about that at all when it comes to just the way that we consume information, the idea that AI might be telling us things and we're just going along for the ride, assuming that it's correct. And in that vein, would you ever think about putting some policies in place around the usage of AI when it comes to your reporting? We already have policies. We don't discourage people from utilizing it, but everything has to, every line.

in any story has to be completely owned by a reporter and the editor and has to be human, verified, and vetted. And what you're saying is true, not to be in defense of AI, because what you're talking about is real. It does confidently say stuff that's stupid occasionally. To be honest, sources occasionally confidently say things that are stupid. Editors confidently say things that are stupid. Does AI do that more often than people? Debatable depending on the person and depending on how much you've refined your AI. And so I think the trick is understanding that it has real limitations right now. It has amazing, like amazing capabilities. Like I find it astronomically helpful to my day to day work. I find it to be a phenomenal researcher. Now I've got all kinds of multi-layered fact checking and stuff that I've built into my system and stuff, but even then it can still be flawed.

What people don't understand is to really get, the reason I think only 1.5% of people are getting exponential value out of AI right now is people haven't fully grappled with how much work you have to put in on the front end to get AI to be truly magical. You just have to feed it, not just a ton of information about yourself and a ton of information about what you care about. You have to be ruthless and brutal in correcting it and saying like when something's wrong and telling it to commit to its memory. in helping refine it and perfect it over time. I will say if you do that, I find parts of it to truly already be at superhuman levels. But again, I also put a ton of work into it. I find this to be the most intellectually electrifying period by far. I

have never seen the world more interesting, more scary, but more interesting. My God, this technology, what we've built.

turning sand into superhuman intelligence. This idea that it's not absurd to think that we might build a data center in the sky. The idea that a tiny nation like Ukraine might potentially defeat the Russians because of a 35,000 drone. We're just living in the future. We're living in a world I did not think would come this quick. And I just find it... endlessly fascinating, endlessly fascinating. And the fact that we have access to so much information to try to understand this moment, I still feel like a little kid, like I can't sleep some nights because I just want to get up and learn and understand and write and try to help people understand this moment.

Again, like I'm in the media and I have the time maybe because I run a media company to do this, but I encourage young people to think that way. Like this thing, I'm very down on what young people are being told about this country and about artificial intelligence. Like there's no doubt you shouldn't cheat with it. And if you've got to use chatGbt to write, you probably have bigger functional problems that you need to deal with. But this idea that like, ah, man, it's scary and you're screwed. I don't know what they're talking about. Like the unemployment rate is like 4.4%. When I was taking economic classes, I was told it wasn't even structurally possible to have unemployment this low. I'm watching kids come into Axios who are 22, 23, 24, 25, who have natural.

proficiency and ability to use artificial intelligence, getting to do things that would have taken me 15, 20 years of career work to be able to do. It's a great time to be getting into the workforce if you're spending the time to like think about what's happening. If you spend the time to figure out how do I use these technologies as a force multiplier for the work that I do. If you come at it with some level of optimism. And I'm not a doughy eye dope. Like I know that there's problems in the country. I know that things are better for some people than other people. But I think things are a lot better today than most people think they are. And I think there's a lot more opportunity, particularly for young people. And I'd spend less time worrying and whining and more time doing. And I think you're going to find that you can really do some pretty exceptional things. I think this probably ties into

your story of stalking several companies. And I think something that's kind of interesting is you transitioned from reporter to guy who manages reporters into someone who actually started a business and now you're more of a founder, owner, operator. Tell us a little bit about that transition from going from writing stuff to then starting companies. It was wild, right? We just had this idea to start Politico, we did it.

Like it wasn't a lot of thought. I was like, okay, one day I'm gonna have to be a founder. One day I'm gonna be an entrepreneur. One day I'm gonna be a CEO. So I'm a journalist man, like let's go do this. It sounds fun and I think we can do it. Well, once you do it, you realize, oh, this is like a real living breathing company. It has needs. It needs management. It needs leadership. And so I had to learn to become a leader. And I had to learn about all hiring, firing, all these things. It's not like you can't read about it in a book and do it. You just have to do it. And I had never fancied myself. I was never an editor. I never managed anybody. I've said many times, like until I had to help run Politico, the only management I ever did was the night shift at Little Caesars when I was in high school.

I don't know if that gets you ready to run a media company. But you learn. You put those reporting skills to work. You pay attention. I think I have the humility to know what I'm not good at and to pick up the phone and call people who are a lot smarter than me. A lot of people have been very generous over the years in helping me understand the things that I don't understand. I'm a relatively quick learner, so I was able to pick things up. I'm a very hard worker. I've always worked a ton of hours. And so I do the work that it takes. It's kind of intoxicating and to be honest, maybe a little addictive. I love it. I love starting companies. I love running companies. I love stories. I get just as excited when we break a story today as I did at Brilliant News or at Roll Call and that's invigorating.

Now, yes, I guess it's our second, we also have XSHQ, so maybe third company, but I'm still running it. I still write all the time. I don't feel that different than I did 20 years ago, other than I know a lot more, and I probably have more capabilities than I did 20 years ago, but I tell any young person, I would tell any old person, if you can be part of a startup, if you can take an idea, especially an idea that people say is crazy and you can will

it into existence. One of the greatest things you can do that's legal and that you get paid for. It's crazy. You learn so much about yourself. And you learn so much about humanity. I know more about people. The good, the bad, and the ugly.

Because of starting companies and watching people in the good, in the glory, in the glory, you just see things and you become almost like a student. You're an anthropologist. You're watching this weird species of a human and how do they behave? What motivates them? Why do weird people do weird stuff all the time? I mean, that's a funny thing about being a CEO. By the time you hear about something happening with people, it's the weirdest shit you could possibly imagine. It's just wild, the stuff that like, Someone did what? And it gets so weird that by the time you're 55 and you're running your second company, almost nothing surprises me. I'm like, oh, okay, well, that happened. But it's a neat thing to do. And I think, by the way, I think that's gonna be another advantage of AI. And I'm not a AI optimist. I'm kind of an AI realist. There's definitely days where I'm quite dark about what AI could do to society.

So I just want to talk about some of the good parts which are I do think it's going to is and will be a lot easier to start a company. I think it is and will be a lot easier to be a one or two or three person company. And not necessarily you're trying to create a new chip to sell to Davidia. It'll be easier for my brother to run his construction company in Oshkosh. It'll be easier for our two plumbers to turn that into a franchise or maybe get rid of the stuff that most of the Most of these guys don't want to do anyways. They hate doing bids. They hate doing the paperwork. It's just gonna be easier. I think that could be really cool. I think that's a really neat thing. And I think given that it's kind of in the blood of Americans to start stuff, I think that that could be a very positive dimension to this. And so you guys talk to founders all the time. I'm sure you pick up a similar pattern of it. It's just a neat thing to do.

And I think a lot of people think you can, like there's like, you've got to be special to do it. Like I don't know, if you can work hard, you have an idea and you have passion around it. There's no IQ test. There's no, you went to a certain university. You didn't have to work at Goldman Sachs or do two

years at McKinsey. None of that stuff matters. None of it, none. Your GPA, who gives a shit, right? Like it's like, do you have a good idea? Can you will it into existence? Do you have the grit? That's the stuff that matters. You mentioned how you've kind of seen all the facets of humanity really from running a company. Because I think in running a company, it's like you're managing people. You're just dealing with people. I think that's sort of what you explained there. What have you learned about people from managing companies? What about humans has surprised you, disappointed you, delighted you from running these companies and from managing all of these people?

The effect that you can have of a leader is 100x more than people realize. Almost instantaneously how I carry myself is contagious. If I'm an activator, the people around me are activators. If I'm not a yeller, they don't yell. If I don't talk crap about other people, they don't talk crap about other people. The opposite of all that's true. The minute that I'm yelling, the minute that I... act like it's okay to be a jerk to your colleagues, the minute that I'm a clock puncher, the minute that I'm passive, all of that stuff trickles down. You see this every time you have a new president in office, how instantaneously the body language, the actual language changes. So I think that's been really, really interesting. I think people need to be led. Like most people require constant intervention to get them focused on how can I be better? How can I do more? Not necessarily work more hours, but how can I make sure that I'm doing the right things in the right order? We've got a book coming out in September called Simplify and the whole reason that we wrote that book.

is that we've seen this magic if you just sit down with an employee and simplify their job. Tell me the three things you need to do in order to crush your job. Are those the right things? Are they the right order? Now, tell me the three things that you do that you think are stupid or that you think someone else could do better. Let's have a discussion about whether we can kill them. And then let's figure out one of the three things that maybe could be automated, I'm gonna help you automate them. This idea of just staying on people, a thing I'm testing right now at Axios is this idea of a monthly mentality. I'm writing about this for this weekend. I just had a board

meeting and I had like this aha moment, because it's been sitting, it's been just sitting there in the back of my mind.

someone said, oh, we're gonna do this, we have a four month plan or a six month plan. And I thought to myself, that is pure fantasy. How could anybody in this world know what the world's gonna look like even six weeks from now? And that was basically what the conclusion I came to is like me operating in a media environment, my line of sight is now six weeks. Anything beyond that I have shaky confidence in. That's how fast things are changing. And so it just requires, if things are changing that fast, that means you've got to really simplify what you're focusing on. Simplify the work that you're actually doing. Even simplify the words that you're using to describe it so that people can understand it quicker and move quicker. I think we're headed into this wild, wild era of...

things moving faster, both information and capabilities than any institution or any individual could possibly keep up with. It's gonna require a total rethinking about how we structure our companies and how us as individuals structure our day. And that's, we ended up writing this, we started it a little bit before AI really, really took off, but it's gonna hit just when people are gonna need a Bible for an operating system for man, how do I do this? And I think that simplified book will help. people do it and so simplifying things is a big thing that I learned for others. And then the power of communications. Like I always knew about the power of it as a writer, like to be able to move things if I put the right words in the right order, right? But how much, how I articulate things or a manager articulate things matter. You've got to be so crisp, so consistent. You have to say things over and over.

only when you've annoyed the living hell out of yourself has the other person started to hear you. Because you have to realize the environment you're operating in, where people are getting 150 emails a day, 110, 20 ticks, Tinder alerts, phone calls, oh my god, think about all that, brain strain. So the only way you can get through is repetition. and repetition hopefully of like very strong memorable words so you're penetrating and it's just such a it's a different way to think about things but so the power of communication has been good there's some people you can't change right

that it that took me the longest that was probably the that my biggest flaw held the longest was I definitely can get a little too swept up in somebody who's like super productive or super smart. And I would overlook that they were a real asshole. And when we started this company, I said, no, we're never doing that again. If you're the most talented person in the world, if you're a jerk and I've confronted you about being a jerk and you're an unreformed jerk, you're going to be a fired jerk. And we've done it a bunch, a bunch of times. And that was the best thing I ever did because now, We might have, and it hurt because there's a couple of people who are driving a lot of revenue and so it's suck to do it. But it's the best thing we ever did because now we've got this atmosphere where people are super ambitious but everyone likes each other and not that they're, they're kind and kind like, so you can't be kind. You can actually be kind and really ambitious and really productive like I don't.

I can't remember if I've ever raised my voice in 15 years. I certainly did in the early days of Politico. But you learn, right? I don't raise my voice. I don't blame other people. I take the blame. Like all these like little things. And now I'm surrounded by people that do that. And it's kind of beautiful and fun. And I had this goal 10, 12 years ago. I just want to do interesting things with people who give me like positive energy. And I want to like purge. like crappy people. And I think that's a very minor. I don't think most people are bad. I think that there's definitely people who are damaged from their childhood beyond my repair. And that like, I just can't, right? If like, I often, it'd be illegal to do, but if I could do one thing in job interviews that is illegal would be to really explore people's childhoods because at almost always you can kind of reverse engineer like things that I just can't fix. Like we can't, my culture can't fix it.

But once you do that, then you can have a lot of fun with really smart people. So as we wrap here, for any young people listening to the show who want to create a successful company, you started two very successful media companies. What would be your number one piece of advice to a young person? If you have a really good idea and you have authentic passion for it, and this is a very important hand, and there's a very plausible way you can make money from that idea, you should do it. You probably will fail like most do and that is okay. It really is okay. Because especially when you're

young and you don't have to care for kids or you don't have to care for a partner, you don't have to care for parents, it's your risk time. That's your risk years. Take the risks if you can. And you'll learn so much about yourself. You'll learn so much about other people. And it's just a beautiful thing. It's a neat thing to go through.

And be more thoughtful about your career, especially if you're young listening to this. Sorry, but 70% of your waking hours between now and 65 or 70 are gonna be spent at work going to work or bitching about work. So why don't you have the novel idea of doing everything in your power to make that as enjoyable, satisfying, and rewarding as humanly possible? Be much more maniacal about that. We spend so much time obsessing about these things where we get to spend an hour a week if we're lucky, why don't we get the work part right? And that will flow into your personal life and probably liberate you to do more and you're in the fun part of your life. And we get at that too in the book about really helping people to simplify what do you want out of life and how can you get rid of all the dumb stuff you're doing out of habit that's keeping you from doing that. And if you don't have a system, you're not gonna do it. You're just gonna drift like a piece of wood.

on a raging river. Jim Van Der Huy is the co-founder and CEO of Axios. Jim, this was fascinating. We really appreciate your time. I appreciate you and thank you for your interest. This episode was produced by Allison Weiss and engineered by Benjamin Spencer. Our research associates are Dan Chalon and Kristin O'Donohue. And our senior producer is Claire Miller. Thank you for listening to the Prof2Markets founder series. We will see you next month with another founder story. Support for the show comes from Anjan. Here's the reality. The average business traveler spends 45 minutes booking a single trip on a legacy platform, but the company's winning right now aren't cutting travel, they're booking smarter. With Engine, that booking time drops to as little as two and a half minutes, and its AI-powered personalization gets faster the more you use it. Multiply that across your team every trip, every year. That's not a perk, that's a competitive advantage. 37,000 businesses have joined Engine. Now it's your turn. Get 500 when your business signs up and starts traveling at engine.com slash founders.